

We now get to the interesting part. The way I have set up the counterexample, during the next three years there are 27 distinct economic scenarios that can take place. The 27 comes from three possibilities in the first year, times three in the second year, times three in the third year. Table 6.3 illustrates the 27 scenarios and the value of Stephanie and Brett's portfolio at the end of those three years based on each of those scenarios.

For example, suppose that during the first three years of retirement the stock market goes down for three years in a row. In this case Brett's equity investment of \$74,600 loses an annual percentage rate of 19% for three years—mathematically this is a factor of $(1 - 0.19/12)^{36}$ —which is a total 43% destruction in value. As you can see from Table 6.3, after three years of retirement his \$74,500 has shrunk to \$41,996. And, of course, his cash allocation has been completely spent. In contrast, Stephanie has experienced the same three-year bear market while spending the same \$9,000 per year. Her diversified (70/30) fund has lost 13% each year, but she emerges from her three-year SWiP with \$45,105, which is not very pretty, but it is better than Brett's situation.

This, of course, is just one of the 27 possible scenarios; but it is a most revealing case. The intuition for this result is as follows. Although Stephanie and Brett start off with the exact same asset allocation, this is not the case at the end of the three years. Because Brett has spent his cash, he is now 100% invested in equities while Stephanie is still holding a balanced 70/30 portfolio. As I discussed in Chapter 3, "Diversification over Space and Time," on the subject of diversification, a 100% exposure to equity is good when markets are going up, but horrible when they are going down. Ergo, you have not protected yourself against a poor sequence of returns—if you consider your total asset allocation.

The table also offers some optimistic news for Brett. If markets increase strongly (35%) for three years in a row, he will end up with \$210,002 while Stephanie will only have \$181,854. This gap of almost \$40,000 is quite impressive and to some might seem to vindicate the buckets approach. But remember, the reason this happens is because Brett implicitly has a more aggressive (equity) asset allocation as he progresses through retirement. All his spending comes from cash. This creates a lopsided rebalancing toward equity.